

Another way to bring the payment down, for a first-time mortgage or a refinance, is to put as much as possible in for the down payment. I understand that is a hard thing to do, so this is a prime opportunity to ask your family for help. Any money that they can loan you will save you a ton of interest! The larger your down payment, obviously the less you have to borrow, plus you qualify for a better interest rate. Saving on interest is like saving money over and over again; better in your wallet than theirs.

Numbers Talk

Let me paint a picture. A borrower, Buddy, has a loan that equals 100% of the appraised value of his property, and has a FICO score of 620. With the current market trends, we are assuming that the value of the home has not increased or decreased since the property was purchased. After an initial five years of making Interest Only payments, the rate has adjusted to 9.5%, and the payments have become principal and interest, amortized over the remaining 25 years of the loan. We are also assuming that the adjusted rate of 9.5% will remain consistent for the remaining life of the loan.

Since Buddy has been making interest-only payments for five years, the principal loan balance has not decreased during this time. Buddy will have to continue paying Private Mortgage Insurance (PMI) because the loan balance has not dropped below 80% of the value of the property. A friend, who is not named Buddy, ran these figures for me and has the spreadsheet showing the dollars and cents.

Scenario A:

Buddy's monthly payment is \$3901.45, principal and interest of \$3494.79 and PMI payment of \$406.67. By paying this amount monthly, the PMI would not be removed until 137 months of payments have been made.

Once the PMI is removed, Buddy makes the minimum principal and interest payment of \$3494.79 monthly, and the loan would not be entirely paid off until the end of the 25th year.